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Yale Program on Financial Stability
Lessons Learned

Anthony Dowd

By Mercedes Cardona

Anthony Dowd was an investment banker when former Federal Reserve Chairman Paul Volcker recruited him during the Global Financial Crisis (GFC) to be his chief of staff for the President's Economic Recovery Advisory Board (PERAB). As chairman of the PERAB, Volcker proposed what would become known as the Volcker Rule, a series of guardrails meant to curb banks' involvement in proprietary trading and investing in private equity or hedge funds; they were adopted in the Dodd-Frank Act of 2010.

When Chairman Volcker founded the Volcker Alliance in 2013, Dowd became a director and its first treasurer. The alliance is a nonpartisan nonprofit focused on the effective execution of public policies and on helping rebuild public trust in government. Dowd remains a director and served as interim president of the alliance in 2015–16. In 2017, he became president and CEO of Fairfield-Maxwell Limited, an industrial holding company. This Lesson Learned is based on an interview held in January 2025; a full transcript may be found here.

The revolving door between regulators and the private sector poses a challenge to the management of systemic risk. Tighter regulations could mitigate regulatory capture and reduce the risk to effective supervision.

The regulatory toolkit has improved since the GFC, said Dowd, but much depends on the will of regulators to enforce the rules written into code. It becomes difficult to have effective supervision when bankers and their overseers are too close and regulators move from government to the private sector, becoming lobbyists and bankers representing the companies they used to regulate and facing the same people they used to work beside. Systemically important financial institutions now have resident banking examiners, but they can become too familiar with their subjects as well, Dowd explained.

> There are people who go to work every day at JPMorgan who work for the government. They sit next to people who are paid two or three times more than they are, and they develop relationships and go to lunch. There need to be some tougher rules around when you're allowed to go work for the entity you regulated.

Dowd noted that two big proponents of financial reform, former US Representative Barney Frank and Mary Miller, formerly undersecretary of the Treasury, were on the boards of banks that recently failed—Signature Bank and Silicon Valley Bank [SVB], respectively.

> That's part of the problem, this regulatory capture. Banks can recruit public officials with their knowledge and access. I don't know what the board fees were at those banks, but I'm sure they were substantial. Mr. Volcker wrote a piece back in 2011 or '12, where he said that the Occupy Wall Street and Occupy the SEC groups' aim was off. He said they should have called themselves Occupy K Street.

The United States could benefit from adopting some of the same rules around board independence and executive governance that exist in the European Union, Dowd suggested. The effect of these rules is not easy to measure, but they could reduce the systemic risk that comes from loose governance practices and "incestuous" environments in boardrooms. Dowd explained further,

> In Europe, you can't be chairman of the bank and be the CEO. They separate those two functions. Once you're on a board for more than five or six years, you're deemed no longer independent because you've been collecting board fees for a significant amount of time. You've developed relationships with other board members and management, and they have requirements for independence. So, it forces a steady turnover of board members.

The different practices in the US lead to some questionable situations, as demonstrated by an illustration he shared:

> At First Republic, maybe not recently, but for a long time, the chairman and the CEO were the same person. The board members, if you look at their backgrounds, they were all friends. They were on the board of the San Francisco Art Museum together with different clients of the bank. So, it was a bit incestuous. Whereas in Europe they have these rules that promote good governance, and it'd be nice to see some of that here.

The political will to make difficult regulatory decisions is just as important to the stability of the banking system as good regulation, perhaps more so.

Dowd recalled how Silicon Valley Bank lobbied for an exemption to the Volker Rule when the Dodd-Frank Act was being drafted, to protect its investment banking offerings to clients that it had developed in the decade before the GFC. The bank argued it would have to divest investment funds that it claimed were important to its business model.

> Mr. Volcker hadn't even heard of the bank before. It was small. It was about $15 billion in assets. He asked me about it. I looked it up and Mr. Volcker said: "Well, you talk to the [SVB] CEO." We were also working with Citigroup and some of the big banks at the time, which drew more of his attention.
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> I had several conversations with the CEO, and then later on with their lobbyist. We kept declining their requests, saying that we would not support an exemption for them, as we'd have to support other exemptions. And we ended up having some conversations with [US] Senators [Barbara] Boxer and [Dianne] Feinstein [from California] about it as well, as they were trying to support one of their constituent banks. But all throughout the Dodd-Frank process and the Volcker Rule amendment, we kept pushing back on Silicon Valley Bank, but unfortunately, during the conference negotiations, their exemption was slid in.

SVB grew from a $15 billion institution in 2010, to $150 billion at the time of its collapse in 2023, Dowd noted. And yet, the system was able to absorb the shock of its collapse, along with the subsequent demise of Signature Bank and First Republic. The capitalization of the banking system remained fairly strong and the other banks that were in compliance didn't have any serious issues, so regulation proved effective, even as the banking institutions have become larger and more concentrated, he said.

Dowd emphasized that the success of any regulatory system depends on the will of the regulators to act quickly when needed, even when they may be criticized. "You're always going to get criticism," he said.

> It's easy to point fingers at the regulators and I wasn't surprised by some of the noise, but I think the resolution regulators actually did a good job. I think it's too bad about First Republic Bank. I think they were a casualty. I mean, they were stronger than SVB. They didn't do what Silicon Valley Bank did and Signature Bank did, but they did have a large number of loans to that community. So, I think they were kind of forced into the JPMorgan marriage, but again, the system got through it fine.

Chairman Volcker believed that regulators should be the "'cop on the beat'" and ensured that banking supervision and the integrity of the banking system was discussed at all Fed meetings, said Dowd. The topic was on the agenda almost 20 times a year when he was chairman but dropped steadily under successive Fed chairs and appeared on the agenda only once or twice a year during Ben Bernanke's term. Ensuring there was a focus on supervision and accountability was key for Chairman Volcker, said Dowd:

> One of the things that Mr. Volcker felt was as important as the Volcker Rule was making sure that the Fed had a "cop on the beat," so to speak. He pushed very hard to have a vice chair of supervision named in the Dodd-Frank bill, so that would be a legislated position, a political appointee. So, there'd be somebody in a senior position at the Fed who was accountable to Congress, was accountable to the public, for the health of the banking system. The vice chairman is at every meeting, and supervision is on the agenda.

"That was a big thing, to have somebody whose political career was on the line for the health of the banks," said Dowd.

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